

Revenue Recognition Control Narrative

CONTROLLED DOCUMENT - SYNTHETIC ENTERPRISE CONTENT FOR RAG TESTING

Document ID	FIN-003	Version	1.0
Owner / Department	Revenue Accounting	Effective date	2026-01-25
Access groups	Finance;Executives;Audit	Classification	Internal

Purpose and scope

This finance document establishes a consistent operating standard for Northstar Chain Systems. It applies to personnel in the listed access groups and to approved contractors when they perform work on behalf of the company. Managers are accountable for local adoption; the document owner maintains the standard and annual review cycle.

Performance Obligations

Standard. Implementation revenue is recognized when the contracted implementation milestone is accepted by the customer. The control exists to make decisions traceable, protect customers and employees, and give teams a predictable operating baseline.

Procedure. Staff should follow the approved workflow, record required approvals in the system of record, and raise exceptions before acting. The accountable owner may provide implementation guidance that is consistent with this standard.

Journal Controls

Standard. A Revenue Accounting manager independent of the preparer reviews manual revenue journal entries. The control exists to make decisions traceable, protect customers and employees, and give teams a predictable operating baseline.

Procedure. Staff should follow the approved workflow, record required approvals in the system of record, and raise exceptions before acting. The accountable owner may provide implementation guidance that is consistent with this standard.

Contract Changes

Standard. Contract modifications are reviewed monthly. The control exists to make decisions traceable, protect customers and employees, and give teams a predictable operating baseline.

Procedure. Staff should follow the approved workflow, record required approvals in the system of record, and raise exceptions before acting. The accountable owner may provide implementation guidance that is consistent with this standard.

Roles, exceptions, and evidence

The Revenue Accounting team is the policy owner. Questions and requested exceptions must be submitted through the service portal or designated owner channel. Exceptions require documented business rationale, risk assessment where relevant, and an expiry date. Evidence of compliance must be retained in the appropriate company system and provided during an authorized review.

Review and enforcement

This document is reviewed at least annually or sooner when legal, regulatory, operational, or material-risk changes occur. Failure to follow this standard may result in removal of access, corrective action, or escalation under the Company Code of Conduct.